parliamentarians. These are good suggestions, which would add to oversight. But I would strongly urge the government not to draw parallels to other regulated sectors and tie the financial regulator with further judicial oversight under a misplaced sense that this is the path to financial development.

REGULATORY ARCHITECTURE

Another area where the FSLRC has strong views is on regulatory architecture. As I said earlier, some of its suggestions here are much needed, including the Financial Resolution Authority. But the logic for some of the suggested changes is weak, and sometimes inconsistent.

Let us take the suggestion to merge all regulation of trading under a new Unified Financial Agency. So the Forward Markets Commission as well as the bond regulation activities currently undertaken by the RBI would move, as would SEBI. But this assumes that the central regulatory synergy is the fact that the instrument is traded. But could other synergies exist? And how important are they?

For instance, in forward trading where a real commodity is delivered, regulatory oversight over real markets for the commodity where price is discovered, as well as over warehouses where the commodity is delivered, may be an important source of regulatory synergy. Should the FMC be subsumed under the Unified Financial Agency or be better off having stronger links to the ministries overseeing the real commodities? I think the answer needs more investigation.

Similarly, is the regulation of bond trading more synergistic with the regulation of other debt products such as bank loans and with the operation of monetary policy (where bonds are traded) or with other forms of trading? Once again, I am not sure we have a compelling answer in the FSLRC report. My personal view is that moving the regulation of bond trading at this time would severely hamper the